

‘Trust me, there is nothing wrong. I want you to help me boost the price so that I can teach him a lesson,’ the promoter said.

‘If there is nothing wrong with the company, my advice to you is to not do anything. Be patient,’ GB advised.

‘But my stock price will end up getting hammered for no reason. I can’t let that happen. I have money to support the price, so why shouldn’t I?’ he argued.

‘You shouldn’t, because that is exactly what he wants you to do. Once you start to support the price by buying through friendly brokers, he will see that you are panicking and start hammering the price even more. At some point, when you stop supporting the stock, it will be seen as a sign of weakness on your part and the other bears too will be emboldened to take you on. Let the fundamentals prevail; he will not be able to beat down your stock below a certain level because other informed buyers will find it attractive and start buying. The operator will then be forced to cover his positions,’ GB said.

The promoter was not very convinced with this argument. But out of respect for GB he did as he was told. The stock price weakened for a week, but things turned out exactly the way GB had predicted. In less than a month, the price stabilized, and then started inching up as the operator decided to cover up his short positions.

Among GB’s clients, I found Radhakishan Damani to be the most disciplined when it came to trading, and most patient when it came to investing. Radhakishan had made a killing in the market crash of 1992 following the securities scam, but had managed to keep a low profile. I got to know from the market that he had come perilously close to bankruptcy and had pledged a sizeable chunk of his blue chip holdings to be able to stay in the game for a few more days. His gamble paid off, and never in his career after that was he revisited by a similar situation.

Radhakishan, at 32, was a relatively late entrant to the stock market, though his father and brother had already been in the stockbroking business for a while when he joined them. He began his working life dealing in ball bearings before he decided to try his hand at share trading. The family’s broking card was in the name of his brother Gopikishan S. Damani, and the firm was known in market circles simply as GS. Many years later, even after he had made a name for himself, Radhakishan Damani would still be known in market circles as GS.